Chapter 6: In-Class Questions

EC306 Wages and Employment, Fall 2026

These questions cover Chapter 6, *Labour Supply and Early Career Decisions*. They are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

Malik has 16 hours a day to divide between work, commuting, and leisure, and $50 a day of nonlabour income. He can earn $24 an hour at a job in the city. Getting there takes two hours a day, round trip, and costs $30 a day for transit and parking, which he pays only on days he works.

a) Draw Malik's budget constraint with the commuting costs, and compare it with the constraint he would face if the job were next door. Explain why the commuting costs raise his reservation wage, and why, if he works at all, he will not work just an hour or two a day.

b) Compare two policies: (i) a new transit line that cuts the round trip from two hours to one, at the same cost; and (ii) a fare subsidy that cuts the daily cost from $30 to $15, with the same travel time. How does each affect labour force participation, and the hours of work of someone who already works?

Question 2

Use consumer demand theory to analyze how each of the following affects the number of children women have, and women's labour supply.

a) An increase in women's wages.

b) A government program that cuts the price parents pay for early learning and child care (ELCC) to $10 a day.

Question 3

For each of the following, state whether it is true, false, or uncertain, and provide an explanation (all marks come from the explanation).

a) A temporary one-year cut in income tax rates raises hours of work by less than a permanent cut of the same size, because people know the temporary cut will end.

b) In the two-period life-cycle model, an increase in the interest rate from 2% to 10% has no effect on how much a person works this year, because it does not change this year's wage.